to as expenditure. Expenditure provides the satisfaction of life for the members of the family.

7.8.1 Factors Affecting Expenditure of a Family

1. **Income:** In low-income groups, a major portion of income is spent on food whereas in high income groups only %50 of their money is spent on food.
2. **Family size:** Expenses on food, clothing, and education is more in larger families as compared to small sized families.
3. **Family composition:** In the expanding stage of the family more money is spent on education and clothes while in the contracting stage, more expenses are incurred on medicines.
4. **Family status:** Influenced by the social circles they move in, a considerable amount of cash may be spent by some families on, maintaining a number of cars, designer clothes, entertainment, luxury items.
5. **Type of family:** In a joint family, money is saved on rent and childcare.
6. **Family values:** Some people give more value to education and prefer spending more on books. Those giving more importance to religion spend more on religious activities.
7. **Location:** There is less expense in small towns as compared to that in cities. If the school or office is nearby, less money is spent on transport.
8. **Skill, knowledge and an interest to save:** A homemaker with her knowledge, skill and interest in culinary arts can prepare exotic dishes at home and thus reduce her expenditure.
9. **Access to community facilities:** Community facilities help save expenses. A person using a library need not spend money on buying books.

7.8.2 Budgeting

The common planning device for the use of money is the budget. It is a carefully prepared spending plan based on the actual family income. It is a plan based on previous experience, present needs and future expectations. A budget is always prepared for a fixed period of time generally for a month. Budget is a guide to realistic spending aimed at avoiding over expenditure.

7.8.2.1 Importance of budgeting

- Budget acts as an intelligent guide to spending.
- It enables a family to have an overall view of their income.
- Budgeting facilitates adjusting irregular income to regular expenditure.
- Budgeting helps people to discuss their needs and set their own priorities on them.
- It helps one to cut unnecessary expenditure.
- It helps one to be free from debts.
- It helps one to live within one's income.
- It encourages conscious decision making which may help in including long term goals in the budget.
- It relieves the family members from worries of future.
- It forces one to decide what one wants most out of life.
- It provides for future saving.

Its success depends upon its being simple, realistic, flexible and suited to the family or individual for whom it is made.

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